A. EXECUTIVE SUMMARY

EXECUTIVE SUMMARY

A. Highlights of Financial Information

Presented below are the financial position and sources of funds, appropriations and obligations of the Municipality for the years 2014 and 2013:

a. The LGU's Assets, Liabilities and Government Equity is presented as follows:

	2014	2013	Increase (Decrease)
Assets	94,664,239.63	68,419,962.77	26,244,276.86
Liabilities	19,817,782.11	10,163,269.75	9,654,512.36
Government Equity	74,846,457.52	58,256,693.02	16,589,764.50

b. Income and Expenses

Income	93,356,265.87	82,912,953.26	10,443,312.61
Expenses	76,476,900.99	75,385,215.50	1,091,685.49

c. Appropriations/Obligation

Appropriations	97,343,572.78	86,230,317.91	11,113,254.87
Obligations	84,882,178.10	79,860,787.37	5,021,390.73

d. Summary of Suspensions, Disallowances and Charges as of Year End

	2014	2013	Increase (Decrease)
Suspensions	-	-	-
Disallowances	52,400.00	58,812.00	6,412.00
Charges	-	-	-
Total	52,400.00	58,812.00	6,412.00

The Municipality's assets, liabilities and equity increased by P26,244,276.86, P9,654,512.36 and P16,589,764.50 respectively.

Total income amounted to P93,356,265.87 for the year which is P10,443,312.61 higher than last year's total income amounted to P82,912,953.26. A total amount of P97,343,572.78 was appropriated during the year of which P84,882,178.10 was obligated.

B. Operational Highlights

The major accomplishments of the Municipality in CY 2014 are the following:

20% Development Fund	Targets	Accomplishments	% of Completion
• Partial concreting of Daan-ili to Pacac Overflow Road (BUB) counterpart	745,000.00	702,877.50	94%
• Concreting of Barangay Roads (Steep Slopes & Poblacion Streets)	1,000,000.00	1,000,000.00	100%
Funded from Financial Assistance			
• DILG-Concreting of Sanitary Landfill access road	1,450,000.00	1,450,000.00	100%

C. Scope of Audit

A financial and compliance audit was conducted on the accounts and operations of the Municipal Government of Allacapan for the year ended December 31, 2014. The audit consisted of the review of operating procedures, inspections of projects, interview of concerned officials and employees, verification, reconciliation and analysis of accounts and such other procedures considered necessary.

D. Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P50,247,489.65 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

E. Significant Findings and Recommendations

The findings and recommendations were discussed with LGU officials and management comments were incorporated in the report, where appropriate. The most significant findings and recommendations are as follows:

1. Collections totaling P1,564,119.03 were not deposited intact and regularly with the authorized depository bank contrary to Section 28 of COA Circular No. 92-382 dated July 3, 1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002.

We recommended that the Municipal Treasurer deposit intact all her collections as well as collections turned over to her by the collectors with authorized depository bank daily or not later than the next banking day pursuant Section 28 of COA Circular No. 92-382 dated July 3,1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002.

2. Cash Advances granted for travels and other specific purpose amounting to P200,789.12 remained unliquidated as of December 31, 2014 contrary to Section 89 of P.D. 1445 and COA Circular No. 97-002 dated February 10, 1997.

We recommended that the Accounting Department follow strictly the governing rules and regulations on the granting and liquidation/settlement of cash advances. Require the Accountable Officers to settle immediately their cash advances to avoid the withholding of their salaries to effect payment.

3. The accuracy, validity, physical existence and condition of the Property, Plant and Equipment account totaling P50,247,489.65 (net of depreciation) as of December 31, 2014 could not be ascertained due to the failure of management to conduct physical inventory and the lack of property documents/records, contrary to Section 119,120 and 124 of the New Government Accounting System (NGAS) Manual.

We reiterated our previous year's audit recommendations that:

1. The Local Chief executive create an Inventory Committee to conduct the required physical inventory of all properties;
2. Prepare and submit to the auditor concerned the required Report of the Physical Count on Property, Plant and Equipment (RPCPPE) not later than January 31 of each year.
3. The Municipal Accountant and the Municipal Treasurer maintain Property Ledger Cards and;
4. The Municipal Accountant reconcile the RPCPPE with the accounting records.

4. Expenses charged to 20% development fund totaling to P1,175,706.71 are not related to and/or connected with the implementation of development projects as provided by Item No. 4 of DILG- DBM Joint Circular No. 2011-1 dated April 13, 2011 and in violation of DILG Memorandum Circular No. 2010-138 dated December 2, 2010.

We recommended that the Local Chief Executive and concerned key officials ensure that public funds, like the 20% development fund, shall be spent solely for its intended purpose(s). Comply with the provision of DILG Memorandum Circular No. 2010-138 dated December 2, 2010 and DILG- DBM Joint Circular No. 2011-1 dated April 13, 2011.

5. Local Disaster Risk Reduction and Management Fund (LDRRMF) amounting to P2,462,400.00 was used to pay Emergency Relief Assistance of all employees of the municipality in violation of Republic Act No. 10121 dated May 27, 2010, COA Circular No. 2012-002 dated September 12, 2012, and DBM- DILG Joint Memorandum Circular No. 2013-1 dated March 25, 2013

We recommended that management strictly adhere to Section 21, Section 11 and Section 16 of the Republic Act No. 10121 dated May 27, 2010, COA Circular No. 2012-002 dated September 12, 2012, and DBM- DILG Joint Memorandum Circular No. 2013-1 dated March 25, 2013. Require all LGU employees who were granted the emergency relief assistance to return/refund the said amount to the Local Disaster Risk Reduction and Management Fund (LDRRMF).

6. The amount and details of the unexpended balance of the LGU's Local Disaster Risk Reduction Management Fund (LDRRMF) for CY 2014 were not disclosed in the Notes to Financial Statements as required under Section 5.1.16 of COA Circular No. 2012-12 resulting to incomplete disclosure of vital information in the financial statement.

We recommended that management reflect the unexpended balance of the LDRRMF in the Notes to Financial Statements in compliance to COA Circular No. 2012-12.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the nine (9) recommendations embodied in the previous Annual Audit Report, three (3) were fully implemented, two (2) were partially implemented and the remaining four (4) was not implemented.